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Now, get a pen-paper or do this in excel. We will begin from 01 January 2000 and keep going right as if the prices are moving real-time. Now, we will mark all the candlestick patterns that we observe and write down on pen-paper about the trades that we might have taken based on candlestick formation. We will focus on the right-most candle of the screen and make our decision based on what we would have done if something of this sort were to happen today.

We will practice on the data that was available in the past.

The key is, to be honest, and not look beyond the succeeding candle till the time we have made our decision.

We will go ahead, one bar at a time –making our decisions. This way we will go one by one from 01 Jan 2000 to the current date and at the end see our year on year performance.

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We will repeat such a practice with other larger companies or else with other indices or commodities, to trade and understand our progress.

